

SECONDARY EDUCATION CERTIFICATE
EXAMINATION

SPECIMEN
MULTIPLE CHOICE QUESTIONS
FOR

PRINCIPLES OF BUSINESS

READ THE FOLLOWING DIRECTIONS CAREFULLY

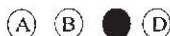
Each item in this test has four suggested answers lettered (A), (B), (C), (D). Read each item you are about to answer and decide which choice is best.

Sample Item

The money a business receives from the sale of goods or services is called its

- (A) assets
- (B) capital
- (C) income
- (D) resources

Sample Answer



The best answer to this item is “income”, so answer space (C) has been shaded.

1. A system involving the exchange of goods depending on the 'double coincidence of wants' is known as
- (A) money
 - (B) barter
 - (C) specialization
 - (D) equal exchange
2. Which of the following is NOT a function of money?
- (A) Not divisible
 - (B) Store of value
 - (C) Measure of value
 - (D) Medium of exchange
3. From which of the following commercial organizations might any member of the public be allowed to purchase shares?
- (A) Co-operatives
 - (B) The Central Bank
 - (C) Private Companies
 - (D) Government agency
4. Which of the following practices are characteristic of a free economy?
- I. Private ownership of assets
 - II. Central planning
 - III. Price fixing
 - IV. Freedom of contract
- (A) I and III only
 - (B) I and IV only
 - (C) II and III only
 - (D) II and IV only
5. Which of the following are the functions of a business unit?
- I. Creation of jobs
 - II. Education of workers
 - III. Maximization of sales
 - IV. Production of goods and services
- (A) I, II and III only
 - (B) I, II and IV only
 - (C) I, III and IV only
 - (D) II, III and IV only
6. In which department of a manufacturing business would you MOST likely find an engineer?
- (A) Production
 - (B) Personnel
 - (C) Marketing
 - (D) Financial
7. A hotel gives vouchers for meals to its employees. This form of incentive is BEST described as a
- (A) reward
 - (B) bonus
 - (C) fringe benefit
 - (D) motivation scheme
8. James wins a sum of money in a lottery and decides to invest it in a business. James buys fruit and sells them to earn money. In which type of production is he involved?
- (A) Secondary
 - (B) Subsistence
 - (C) Primary
 - (D) Tertiary

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9. Which of the following exemplify good leadership?
- I. Motivating subordinate staff
 - II. Providing more goods at lower cost
 - III. Giving direction to the organization
 - IV. Implementing established plans
- (A) I, II and III only
(B) I, II and IV only
(C) I, III and IV only
(D) II, III and IV only
10. An authoritarian leader is one who
- (A) makes decisions without consultation
(B) allows workers to plan their own work
(C) consults with those likely to be affected by the decision
(D) takes suggestions from employees
11. The workers in a large organization are dissatisfied with the working conditions. The trade union representatives' FIRST likely action will be to
- (A) have discussions with the personnel officer
(B) encourage employees to adopt go slow tactics
(C) encourage the workers to take strike action
(D) request a meeting with the board of directors
12. A trait associated with entrepreneurs is
- (A) taking risks
(B) fear of failure
(C) acceptance of loss
(D) opposition to change
13. The purpose of a business plan is to
- I. measure the performance of the business
 - II. attract financing to the business
 - III. communicate the business ideas to others
 - IV. provide direction for the business operations
- (A) I and II only
(B) I and IV only
(C) I, II and III only
(D) II, III and IV only
14. Which of the following documents should be used to indicate to a business department that supplies of certain goods are needed?
- (A) Invoice
(B) Quotation
(C) Stock card
(D) Requisition order
15. The advantages which a firm may achieve by significantly increasing the size of its output are known as
- (A) economies of scale
(B) risk-bearing economies
(C) economies of concentration
(D) effects of large scale production
16. Which of the following should a feasibility study include?
- I. An overview of the business
 - II. The profitability of the business
 - III. The growth potential of the business
 - IV. The family background of the partners
- (A) I and II only
(B) II and III only
(C) I, II and III only
(D) I, II and IV only

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17. Which of the following situations would occur if a contract for the sale of goods becomes void?
- I. The prospective buyer becomes the owner.
 - II. The seller has the right to keep any money or goods which have been given to him in this transaction.
 - III. The prospective buyer does not become the owner.
 - IV. The seller must return any money or goods given to him by the prospective buyer for the transaction.
- (A) II and III only
 - (B) III and IV only
 - (C) I and IV only
 - (D) I, II and IV only
18. The abbreviation f.o.b. means
- (A) fee on board
 - (B) freight on board
 - (C) free on board
 - (D) freeze on board
19. A post-dated cheque is one which is dated
- (A) no later than six months ago
 - (B) to agree with the date of the document requesting payment
 - (C) by the bank on the day the cheque is presented for payment
 - (D) for payment at a future date
20. What should a bank teller do when a customer presents a cheque with a general crossing?
- (A) Ask for identification
 - (B) Pay the amount stated
 - (C) Request that the cheque be deposited
 - (D) Refer the customer to the drawer's bank
21. "Capital as a factor of production" refers to
- (A) money that is used to purchase goods
 - (B) goods that are used to produce other goods
 - (C) assets that are owned by a firm
 - (D) goods purchased for resale
22. Primary production is concerned with the
- (A) distribution of goods
 - (B) provision of services
 - (C) manufacture of goods
 - (D) provision of raw materials
23. Which of the following are features of a cottage industry?
- I. Family help
 - II. Mass production
 - III. Minimal investment
 - IV. Production of exports
- (A) I and III only
 - (B) I and IV only
 - (C) II and IV only
 - (D) III and IV only
24. Which of the following is NOT a primary industry?
- (A) Mining
 - (B) Fishing
 - (C) Building
 - (D) Farming

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25. Which of the following actions would allow a cigarette manufacturer vertical integration of business activities?
- Buying a tobacco estate
 - Purchasing a competitor's cigarette factory
 - Establishing a retail outlet for cigarettes
 - Acquiring vehicles to be used for delivery of cigarettes
- (A) I and II only
(B) II and IV only
(C) I, II and III only
(D) I, III and IV only
26. Which of the following LEAST affects the location of an industry?
- (A) Proximity to sources of raw materials
(B) Availability of an abundant labour supply
(C) Proximity to large shopping areas
(D) The presence of good roads and drainage
27. Which of the following are functions of small firms?
- The provision of goods and services
 - The offering of personalised services
 - The production of exclusive articles
 - The reduction in the demand for labour
- (A) I, II and III only
(B) I, II and IV only
(C) I, III and IV only
(D) II, III and IV only
28. Which of the following activities carried out in a firm will NOT be under the supervision of the marketing manager?
- (A) Packaging
(B) Advertising
(C) Distribution
(D) Purchasing
29. Which of the following documents gives the name of the ship and full particulars of the shipment of goods?
- (A) Bill of Sale
(B) Bill of Lading
(C) Airway Bill
(D) Broker's Bill
30. Which of the following are characteristics of a 'perfect market'?
- There are many buyers and sellers
 - The buyers are aware of the price of the goods
 - The price of the goods must be fixed by supply or demand
 - There must be several types of the commodity on sale
- (A) I and II only
(B) II and IV only
(C) I, II and III only
(D) II, III and IV only
31. Which of the following BEST describes the term 'loss leader'?
- (A) An item which the retailer gives away to customers
(B) A product which is sold cheaply to attract customers
(C) A good which has no real market value
(D) A product which the retailer is unable to locate
32. Which of the following is a MAJOR function of consumer organisations?
- (A) Providing goods and services for consumers
(B) Educating consumers about their rights and privileges
(C) Setting price controls for certain commodities
(D) Acting as price inspectors

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33. Which of the following BEST describes a bill of sale?
- (A) An advertisement for sale of a client's property by the bank in settlement of a debt
 - (B) A notice that a list of items overdue for customs clearance will be auctioned
 - (C) A document drawn up by a business to inform import control authorities of its export activities
 - (D) An agreement between buyers and seller regarding title of ownership of goods
34. A housewife buys meat from a local butcher in her neighbourhood. What type of distribution does this represent?
- (A) A retail outlet
 - (B) A single channel
 - (C) A direct channel
 - (D) An indirect channel
35. Which of the following is a function of a commercial bank?
- (A) Refusal of deposits
 - (B) Lending of depositor's funds
 - (C) Barring of long term financing
 - (D) Making the various currencies
36. On which of the following bank accounts is a service fee charged?
- (A) Current
 - (B) Savings
 - (C) Term Deposit
 - (D) Fixed Deposit
37. Which of the following can a government sell to raise revenue?
- I. Shares
 - II. Bonds
 - III. Debentures
 - IV. Treasury Bills
- (A) IV only
 - (B) I and IV only
 - (C) I, II and III only
 - (D) II, III and IV only
38. Wealth set aside for the production of further wealth is referred to as
- (A) saving
 - (B) capital
 - (C) banking
 - (D) commerce
39. One of the MAJOR functions of a central bank is to
- (A) issue notes and coins
 - (B) issue stocks and shares
 - (C) accept deposit accounts
 - (D) make loans and advances
40. Which of the following describes a 'stock market'?
- I. A type of warehouse
 - II. A place where brokers and jobbers may be found
 - III. A place where shares are bought and sold
 - IV. The most perfect competitive market
- (A) I, II and III only
 - (B) I, II and IV only
 - (C) II, III and IV only
 - (D) II, III and IV only

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41. The responsibilities of government include the
- preservation of law and order
 - encouragement and promotion of investment
 - provision of proper infrastructure
 - establishment of business enterprises
- I and II only
 - II and III only
 - I, II and III only
 - II, III and IV only
42. A government can protect consumers by
- enacting laws
 - publishing standards
 - prosecuting infringements
 - communicating with consumers watch groups
- I only
 - I, II and III only
 - II, III and IV only
 - I, II, III and IV only
43. Which of the following measures may be used by government to control business activity?
- Legislation
 - Regulation
 - Valuation
 - Taxation
- III only
 - I and II only
 - I, II and III only
 - I, II and IV only
44. Government's deductions of part of workers' weekly or monthly salaries is called
- income tax
 - corporation tax
 - capital gains tax
 - value added tax
45. Which of the following can be classified as "indirect taxation"?
- Tariff
 - Land Tax
 - Sales Tax
 - Inheritance Tax
- I only
 - I and III only
 - II and IV only
 - IV only
46. A tax levied in excess of the standard rate on earned income is called
- surtax
 - purchase tax
 - corporation tax
 - capital gains tax
47. Governments establish National Insurance Schemes in order to
- prevent devaluation of a nation's currency
 - provide benefits to employees after retirement
 - protect employees from victimisation at the workplace
 - provide benefits to employees in the event of unforeseen circumstances
48. Which of the following may be used as indicators of a country's standard of living?
- National income
 - Level of taxation
 - Distribution of wealth
 - Level of consumer spending
- I and II
 - I and IV
 - I, III and IV
 - II, III and IV

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49. Gross National Product may be defined as the total goods and services

- (A) exported by a country over a specified period
- (B) owned by a country over a specified period
- (C) imported by a country over a specified period
- (D) produced by a country over a specified period

50. Which of the following indices is the BEST measure of the economic growth of a country?

- (A) Population
- (B) Level of exports
- (C) Standard of living
- (D) Gross domestic product

51. Which of the following clearly defines the term "balance of payments"?

- (A) The total monetary transactions of a country with the rest of the world
- (B) The total value of all the goods sold by one country to another
- (C) The total value of all the goods produced in a country
- (D) The total value of all the goods and services consumed by a country

Item 52 is based on the following table.

	Payment in (+) \$m	Payment out (-) \$m
Goods	300	190
Services	170	220
Capital	40	130
TOTAL	510	540

52. The current account balance when the figures above are extracted is

- (A) -\$30m
- (B) +\$50m
- (C) +\$60m
- (D) +\$110m

53. Which of the following would NOT be used by the government in an attempt to decrease the imports of a country?

- (A) Ban
- (B) Quota
- (C) Subsidy
- (D) Licence

54. A quota can BEST be described as a

- (A) ban on the sale of foreign goods
- (B) tariff on extraregional goods
- (C) restriction on the quantity imported
- (D) licence to import unlimited foreign goods

55. The Caribbean Development Bank functions PRIMARILY to

- (A) assist Caribbean territories in their economic development
- (B) assist territories engaged in large manufacturing industries
- (C) aid territories seeking to develop their tourist trade
- (D) expand communications among Caribbean territories

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56. Which of the following are MAJOR economic problems facing many Caribbean countries today?
- I. High levels of unemployment
 - II. Adverse balance of payments
 - III. Low productivity in manufacturing
 - IV. Lack of capital for investment
- (A) I and II only
(B) II and III only
(C) I, II and IV only
(D) I, III and IV only
57. The term 'economic dualism' defines an economy in which one sector
- (A) imports more goods and services than it exports
 - (B) exports more goods and services than it imports
 - (C) is overpopulated while the other is underpopulated
 - (D) is technologically advanced while the other is technologically retarded
58. Which of the following does NOT enhance economic growth?
- (A) Political instability
 - (B) Foreign investment
 - (C) Improved technology
 - (D) Education and training
59. NAFTA is a region-wide trade agreement. Which of the following groups of countries are members of NAFTA?
- (A) Caribbean, Canada, USA and United Kingdom
 - (B) Caribbean, Mexico, Canada and USA
 - (C) Caribbean, Canada, USA and Brazil
 - (D) Mexico, Canada, USA and United Kingdom
60. Which of the following are the MAJOR arguments in favour of foreign investment?
- I. Reduction of local employment
 - II. Provision of technical expertise
 - III. Establishment of markets
 - IV. Inflow of capital
- (A) I, II and III only
(B) I, II and IV only
(C) I, III and IV only
(D) II, III and IV only

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.

CARIBBEAN EXAMINATIONS COUNCIL

**SECONDARY EDUCATION CERTIFICATE
EXAMINATION**

PRINCIPLES OF BUSINESS

SPECIMEN PAPER 2008

Item No.	Key
1	B
2	A
3	A
4	B
5	C
6	A
7	C
8	D
9	C
10	A
11	A
12	A
13	D
14	D
15	B
16	C
17	B
18	C
19	D
20	C
21	A
22	D
23	A
24	C
25	D
26	C
27	A
28	D
29	B
30	C

Item No.	Key
31	B
32	B
33	D
34	C
35	B
36	A
37	D
38	B
39	A
40	D
41	C
42	D
43	D
44	A
45	B
46	A
47	D
48	C
49	D
50	D
51	A
52	C
53	C
54	C
55	A
56	C
57	D
58	A
59	C
60	D